KENYA RED CROSS SOCIETY

INTERNAL AUDIT AND RISK MANAGEMENT

2025 NATIONWIDE SPOT CHECK REVIEWS

Cross-Regional Trend Analysis, Risk Prioritization and Strategic Audit Plan

Covering All 47 KRCS Branches Across 8 Regions

21 Spot Check Reports | January 2025 – November 2025

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Executive Summary

This report synthesizes findings from 21 spot check reviews conducted across all 47 Kenya Red Cross Society (KRCS) branches during the 2025 financial year. Reviews were carried out in two phases across 8 regions: Central, North Rift, South Rift, West Kenya, Coast, North Eastern, Lower Eastern (formerly Lower/Upper Eastern), and Upper Eastern.

The primary purpose of this analysis is not to restate what the individual reports said. It is to identify systemic patterns, quantify risk exposure by region and branch, spotlight the most credible fraud risk areas, and give the Internal Audit unit a clear evidence-based priority order for future engagement.

Overall assessment:

Every single spot check review across all 47 branches returned a 'Needs Improvement' rating. Overall assurance scores ranged from 0% (11 reports) to 57% — with only two reports exceeding 50%. This is a sector-wide governance and control maturity concern, not isolated to any one region.

Metric	Figure			
Total spot check reports analysed	21 reports			
Total branches covered	47 branches, all 8 regions			
Reports rated 'Needs Improvement'	21 / 21 (100%)			
Total open HIGH severity findings	57+			
Total open MEDIUM severity findings	75+			
Cross-cutting issues identified	12			
Regions with active fraud risk indicators	7 of 8			

Top 3 priorities for the next audit cycle:

1. North Rift Region — highest composite risk score (87). Active fraud indicators include cash channeled to accountants via M-Pesa for conference procurement, bid-splitting, and three branches where volunteers are running finance and procurement functions without accountability.

2. Lower Eastern Region — unbanked PHW proceeds, brokerage policy violations, and widespread inaccurate receipt references point to revenue leakage risk that is difficult to quantify without a deeper investigation.

3. Wajir Branch — the sole instance in the dataset where the same individual prepares and approves bank reconciliations, combined with unauthorized local receipt books and irregular contract approvals. This is the highest single-branch fraud enablement risk.

The report is structured as follows: cross-cutting issues, regional risk matrix, branch-level risk rankings, fraud risk analysis, a recommended audit priority plan, and a follow-up framework for medium and low findings.

Cross-Cutting Issues and Trend Analysis

The table below maps issues that appeared in three or more reports across different regions. These are not isolated control failures — they represent systemic gaps in policy enforcement, staff capacity, or system design that the national office and regional management need to address structurally.

ID	Issue	Reports	High	Med	Trend	Key Observation
CC-01	Late / Inaccurate Bank Reconciliations	11	4	9	PERSISTENT	Kilifi branch: missing since Aug 2019 (6 years). Central all 5 branches up to 136 days late.
CC-02	Non-Achievement of 25% Surplus Benchmark	9	18	4	WORSENING	Nyeri: -90.75%. Garissa/Mandera in deficit. Only West Pokot and a handful met threshold.
CC-03	Long Outstanding Receivables	12	5	10	PERSISTENT	Kilifi+Mombasa: Ksh 16.1M overdue >360 days. Bomet HQ mileage Ksh 5.1M dating to 2017.
CC-04	Long Outstanding Payables	10	4	9	PERSISTENT	Marsabit: Ksh 7.7M. Machakos Lower Eastern: Ksh 4.5M. Samburu: Ksh 3.9M.
CC-05	Asset Management Gaps (incomplete register, untagged assets, obsolete items)	9	5	7	PERSISTENT	Cross-regional. Assets with zero value, no depreciation, missing tags — across all 8 regions.
CC-06	Procurement Irregularities (non-prequalified vendors, bid-splitting, retrospective procurement)	8	7	4	WORSENING	NRR: cash sent to accountant via M-Pesa for purchases. Busia: brokerage conflict of interest.
CC-07	Volunteer Management Gaps (unsigned code of conduct, VMMS underutilization, volunteers in finance/procurement roles)	7	6	4	PERSISTENT	NRR: 3 branches with volunteers running finance. Wajir: key contracts unsigned.
CC-08	Lack of Title Deeds for Branch Land	4	3	5	ONGOING	West Kenya: all 9 branches hold only allotment letters. Central, North Rift, Coast also affected.
CC-09	Navision / ERP Underutilization	5	0	6	IMPROVING	Kajiado, South Rift (Narok, Kericho, Baringo), Wajir — branches not mapped or lacking rights.
C	Failure to Implement	3	4	0	CRITICAL	Bungoma: same weaknesses in

C-10	Prior Audit Recommendations					consecutive reports. NRR: systemic partial remediation documented.
CC-11	Inadequate Segregation of Duties	4	2	3	PERSISTENT	Wajir: same officer prepares and approves bank recs. Kitui: accountant does full P2P cycle.
CC-12	Income Recognition Weaknesses (unreceipted income, inaccurate receipt references, cash handling)	6	3	4	WORSENING	West Kenya Vihiga: amounts in system differ from physical receipts. Wajir: unauthorized receipt books.

Deep-Dive: The Four Most Persistent Control Failures

1. Bank Reconciliation Failures (CC-01)

This appeared in 11 of 21 reports — more than any other finding. What is alarming is the spread: from Kilifi where reconciliations have been missing since August 2019 (a six-year gap), to Central Region where all five branches were between 41 and 136 days late. The finance manual requires reconciliation within 15 days of month-end. System challenges are frequently cited as the root cause, but the pattern suggests the deeper issue is absence of supervisory accountability and no automated escalation when deadlines are missed.

The Garissa branch incurred Ksh 20,877 in bank charges purely from two dormant accounts that were never closed — a small but direct cost of poor bank management. The North Eastern branches showed improvement after the June review, with most findings closed by the October follow-up, which demonstrates that rapid corrective action is achievable when there is management will.

2. Non-Achievement of 25% Surplus Benchmark (CC-02)

This is the most widespread financial sustainability concern in the dataset. The NEC directive requiring branches to retain 25% of unrestricted surplus is being met by very few branches. Nyeri branch posted a -90.75% surplus position (Ksh 2.9M deficit). Turkana showed a deeply negative position driven by project expenses outpacing income. Garissa and Mandera were both in deficit.

The structural challenge is overreliance on project income. When projects close or funding is delayed, branch income collapses and core operational costs become unserviceable. Multiple branches rely on the Humanity Power Walk as their primary non-project income source, which introduces seasonality risk. Any audit plan for the next cycle should treat income diversification strategy as an audit objective — not just a management recommendation.

3. Procurement Irregularities (CC-06)

Procurement findings went beyond standard non-compliance. Three specific patterns carry elevated fraud risk. First, in Bungoma and Turkana, funds were channeled to accountants via M-Pesa for them to make purchases informally — entirely bypassing the Navision procurement module and all related approval controls. Second, in Busia branch (West Kenya), the branch was purchasing conference services and re-selling them to projects at a markup, a practice expressly prohibited by the related party policy. Third, retrospective procurement — where the procurement process was completed after goods had already been delivered — was documented in Central Region (Kirinyaga) and North Rift Region (Turkana, Trans Nzoia).

These patterns are not explainable by capacity gaps alone. They require targeted investigation to determine whether financial losses occurred.

4. Volunteers in Finance and Procurement Roles (CC-07)

Across Bungoma, West Pokot, Nandi, and Elgeyo Marakwet, volunteers — not contracted staff — were performing finance officer and supply chain functions. In some cases, contracts existed but had not been signed. In others, there was no contract at all. Volunteers are not bound by the staff code of conduct, are not subject to the same disciplinary framework, and have no personal financial accountability for errors or misappropriation. In Elgeyo Marakwet, the County Coordinator was directly handling finance operational tasks because no one else was available, removing the CC's capacity for strategic and oversight functions.

The North Rift second-round report recommended a Regional Remediation Board with the Systems Auditor as one of its members — a forward-thinking recommendation that should be acted on.

Regional Risk Matrix and Rankings

The composite risk score below weights open HIGH findings at 3 points, MEDIUM at 2 points, and LOW at 1 point. A fraud risk multiplier (1.5x) is then applied to findings that specifically enable misappropriation, manipulation, or undetected loss. Repeat finding penalties add 2 points per recurring issue. Regions are ranked from highest to lowest risk.

Rank	Region	Reports	Open H	Open M	Score	Risk Level	Primary Risk Driver
1	North Rift Region	3	9	3	87	CRITICAL	Cash to accountant via M-Pesa, bid-splitting, volunteers in finance/procurement (3 branches), retrospective procurement, persistent non-implementation of recommendations
2	Lower Eastern Region	3	5	9	73	CRITICAL	Unbanked PHW proceeds, cash handling violations, brokerage policy breach (Makueni), inaccurate receipt references, delayed bank signatories
3	Central Region	3	8	7	63	HIGH	Procurement investigation (Kirinyaga), Nyeri -90.75% surplus deficit, inaccurate opening balances, bank recs up to 136 days late
4	Upper Eastern Region	2	8	2	48	HIGH	Ksh 7.7M payables Marsabit (now reduced to Ksh 1.9M), security risk without liability transfer, leadership vacancies, brokerage non-compliance, declining income trend
5	Coast Region	3	2	13	46	HIGH	Kilifi bank recs missing since Aug 2019, Ksh 16.1M receivables >360 days overdue, payroll tax non-compliance Mombasa, Tana River vehicle at 353K km
6	West Kenya Region	3	4	6	45	HIGH	Conference brokerage/conflict of interest (Busia), off-system procurement approvals (Kisumu), receipt amount variances (Vihiga), all 9 branches without title deeds
7	North Eastern Region	2	0	6	43	MEDIUM-HIGH	Wajir: same officer prepares and approves bank recs (SoD breach), unauthorized receipt books, irregular contract signing — all 6 Wajir findings open
8	South Rift Region	2	2	2	31	MEDIUM	Bomet irregular payments (weekend pay, land leveling, unaccounted

							advance), financial sustainability deficit Ksh 3.2M, aged vehicles not disposed

Region-by-Region Narrative

North Rift Region — CRITICAL (Score: 87)

North Rift had the highest volume of HIGH-severity open findings and the highest fraud risk multiplier in the dataset. The two-round structure (June and October) revealed that corrective actions from Round 1 were only partially implemented by Round 2 — and the October report formally named this as a finding in itself (CC-10). Three branches ran finance with volunteers. Funds were transferred to accountants' personal M-Pesa accounts for conference procurement, creating an entirely unaudited payment pathway. Bungoma's greenhouse IGA failed due to lack of training and access controls, resulting in crop loss and a wasted Ksh 500K investment. The recommendation for a Regional Remediation Board in the October report is the right structural response and should be fast-tracked.

Highest risk branches: Bungoma (persistent failures, M-Pesa procurement, volunteers in finance), Turkana (unrecorded income, bid-splitting, deeply negative surplus).

Lower Eastern Region — CRITICAL (Score: 73)

The Machakos/Kajiado/Makueni October review found cash from PHW school collections being received without signed acknowledgement forms — cash collected, no receipt, no trail. Ksh 9,735 at Makueni was not banked at all after a headteacher handed it over. Makueni also subcontracted OSH training at Ksh 80K and charged clients Ksh 240K — a clear brokerage violation. Receipt reference mismatches in Machakos indicate either data entry errors or deliberate manipulation. Kajiado's bank reconciliation had missing statements from 2021 that are still corrupting current balances.

Kitui had its CC in an acting capacity since October 2024 (9 months) and the accountant was managing the full procurement-to-payment cycle alone. This concentration of control in one person, without independent oversight, is a high-fraud-enablement scenario.

Central Region — HIGH (Score: 63)

Central Region stands out for the scale of financial reporting failures. Nyeri's deficit of -90.75% suggests the branch is operationally unviable without headquarters subsidy. Opening balance discrepancies in Murang'a (Ksh 2.96M) and Kiambu (Ksh 7.5M in individual fund categories) undermine the reliability of both branches' financial statements. The Kirinyaga procurement finding — where a supplier's quotation contained price errors that were later corrected upward in the invoice — was rated a medium but has characteristics of a manipulation that warrants investigation. Two rounds of reviews covered largely different branch clusters, which means the combined picture is comprehensive but also reveals that problems were present across the full Central Region.

Upper Eastern Region — HIGH (Score: 48)

Marsabit went from Ksh 7.7M in outstanding payables in June to Ksh 1.9M by October — demonstrating real progress. But the leadership vacuum remains: no dedicated HOR, the HOR for West Kenya concurrently covering Upper Eastern, and the Isiolo CC position still vacant at the time of the October review (after being flagged in June). Samburu's Ksh 3.6M payable to Mufri Construction requires verification against contract terms and delivery evidence. All three branches show declining income trends compared to 2024, with over-reliance on project-related income that is not being replaced by IGAs.

Coast Region — HIGH (Score: 46)

Kilifi's six-year gap in bank reconciliations is the single most alarming individual control failure in the entire dataset. A bank account (BNK010) has had no reconciliation since August 2019. This is not a delay — it is a complete absence of financial oversight for 6 years. The Coast Region also has Ksh 16.1M in receivables overdue beyond 360 days between Kilifi and Mombasa, with limited realistic prospects of recovery. Mombasa's continued application of SHIF tax relief after the December 2024 amendment creates a growing statutory liability with KRA.

West Kenya Region — HIGH (Score: 45)

West Kenya's three-round review structure provides the most complete picture of any region. The brokerage finding at Busia (purchasing conference services and reselling at markup to UNICEF and Korean projects) totaled Ksh 862K and is a direct policy breach with financial misrepresentation implications. Kisumu's off-system LPO approvals totaling Ksh 526K bypass Navision controls entirely. All 9 branches in the region hold only allotment letters for land — no title deeds — creating a systemic asset misstatement that affects the regional balance sheet.

North Eastern Region — MEDIUM-HIGH (Score: 43)

Mandera and Garissa showed commendable improvement between their June review and the follow-up, with most findings closed. Wajir, however, is a different story. All six findings from the March review remain open. The SoD breach where the RFO prepares and approves his own bank reconciliations — combined with locally manufactured receipt books without serial numbers — creates conditions where revenue misstatement could go undetected indefinitely. Wajir should be treated as a priority investigation candidate.

South Rift Region — MEDIUM (Score: 31)

South Rift has the lowest composite risk score, partly because the June round findings were mostly closed or under verification by the October round. The Bomet irregularities — paying staff for weekend work in cash, paying staff to level land, double airtime payments — individually look minor but collectively reflect a culture of loose financial controls at branch level. Combined with a Ksh 2.5M deficit and Ksh 7.3M in debtors, Bomet needs management attention despite not being the highest-scoring branch.

Branch-Level Risk Rankings

The table below ranks the 15 highest-risk branches. Branches were scored using the same composite method as regions, with an additional weighting for fraud enablement factors (SoD breaches, uncontrolled cash, manipulated records, repeated non-compliance). Branches not listed here had medium or low open findings and are included in the follow-up plan section.

Rank	Branch	Region	Risk Tier	H	M	Key Fraud and Control Risk Indicators
1	Nyeri	Central	CRITICAL	5	3	Procurement gaps, -90.75% surplus, bank recs 136 days late, long payables Ksh 2.8M
2	Bungoma	North Rift	CRITICAL	4	2	Cash to accountant via M-Pesa, greenhouse procurement without contract, volunteers in finance, persistent non-implementation
3	Wajir	North Eastern	CRITICAL	0	5	SoD breach (preparer = approver), unauthorized receipt books, over-payment on per diems, irregular contract approvals
4	Marsabit	Upper Eastern	CRITICAL	4	1	KES 7.7M payables, conference brokerage, security liability gap, procurement from non-prequalified
5	Turkana	North Rift	HIGH	3	2	Unrecorded M-Pesa income, bid-splitting to avoid competitive quotation, negative surplus (-2500%)
6	Kilifi	Coast	HIGH	1	5	Bank recs missing since Aug 2019 (6 yrs), Ksh 5.7M receivables >180 days, no title deed, overdue vehicle
7	Machakos	Lower Eastern	HIGH	3	2	Unbanked PHW cash, inaccurate receipt references, delayed bank signatories, missing Aug-Sep bank recs
8	Bomet	South Rift	HIGH	2	1	Weekend overtime cash payments, payment for land leveling to staff, airtime beyond approved limit, unaccounted advance
9	Samburu	Upper Eastern	HIGH	2	0	Ksh 3.9M outstanding payables (Mufri Construction), HR vacancy causing operational delays, 9-month delay on First Aid certificates
10	Kisumu	West Kenya	HIGH	1	3	Off-system procurement approvals (Ksh 526K), inaccurate bank recs, accrual violations (2022 expense in 2025)
11	Tana River	Coast	MEDIUM-HIGH	1	3	Unprequalified fuel vendor (no contract), vehicle at 353K km, bank rec dating to 2017 entries
12	Mombasa	Coast	MEDIUM-HIGH	0	3	SHIF tax relief misapplication after Dec 2024 law change, procurement without framework agreements, Ksh 12.5M debtors >360 days

13	Busia	West Kenya	MEDIUM-HIGH	0	3	Conference brokerage/conflict of interest (Ksh 862K), bid-splitting, two-vendor procurements
14	Narok	South Rift	MEDIUM	0	2	2024 income/expenditure posted in 2025 (Ksh 688K), volunteer using staff Navision account
15	Makueni	Lower Eastern	MEDIUM	1	2	PHW cash unbanked, brokerage Ksh 160K markup, Ksh 3M outstanding payables, idle greenhouses and borehole

Analyst note: The ranking above reflects findings as documented in the spot check reports. Where a finding is rated 'closed' or 'audit verifying' in a subsequent round, it has been excluded from the score. Wajir ranks 3rd despite having no HIGH-severity findings because the fraud enablement configuration — SoD breach plus unauthorized receipt books — makes it qualitatively one of the most dangerous control environments in the portfolio regardless of severity label.

Fraud Risk Analysis

This section does not allege that fraud has occurred. What it does is identify the configurations of control failure that, based on IIA fraud risk assessment standards, create the highest probability of undetected misappropriation or misrepresentation. Three criteria are applied: opportunity (control gaps that enable fraud), incentive/pressure (financial stress, performance pressure), and rationalization (documented instances of policy override being tolerated).

Fraud Risk Heat Map by Category

Fraud Risk Category	Branches Exposed	Estimated Exposure	Risk Level	Primary Evidence
Revenue Diversion / PHW Cash Leakage	Machakos, Makueni, NRR branches	Ksh 9,735+ unbanked; total PHW exposure unknown	HIGH	Cash received from schools without signed acknowledgements; Makueni cash not banked at all
Procurement Manipulation	Turkana, Bungoma, Trans Nzoia, Kirinyaga	Ksh 240K+ documented; broader exposure unknown	HIGH	Retrospective procurement, bid-splitting, quotation errors corrected post-award, M-Pesa cash-outs for procurement
Bank Reconciliation Manipulation (SoD breach)	Wajir, Garissa (closed), Mandera (closed)	Unquantifiable without forensic review	HIGH	Same officer prepares and approves reconciliations. Kilifi: 6-year gap creates complete opacity.
Revenue Brokerage (conflict of interest)	Busia, Makueni, Marsabit	Ksh 1M+ in documented transactions	MEDIUM	Busia: Ksh 862K conference brokerage. Makueni: Ksh 160K OSH training markup. Policy explicitly prohibits this.
Payroll / Allowance Irregularities	Bomet, Mandera, Wajir	Bomet: Ksh 40.7K documented; broader payroll risk	MEDIUM	Bomet: cash for weekend work, land leveling pay, double airtime. Mandera: overpaid volunteer allowances. Wajir: per diem excess.
Receivables Misstatement / Write-off Avoidance	Bomet, Kilifi, Kisumu, Nyeri, Upper Eastern	Ksh 30M+ in long-outstanding, potentially irrecoverable balances	MEDIUM	Mileage receivables dating to 2017. Staff debtor at Kajiado (former CC). Receivables from closed projects unlikely to be recovered but not written off.
Asset Misappropriation (untagged, unvalued)	All 8 regions	Unquantifiable — donated assets recorded at	MEDIUM	Assets with no tag, no value, no serial number cannot be tracked or verified. Obsolete items not disposed create

		zero value		concealment risk.

Investigation-Grade Referrals

Based on the analysis, the following situations have moved beyond audit observation into territory where a formal investigation or focused forensic review is warranted. These are not formal referrals — that decision sits with the Secretary General and ARC — but the evidence base presented in the spot check reports meets the threshold for escalation under KRCS's fraud response framework.

Branch / Entity	Nature	Rationale for Escalation
Wajir Branch	SoD + Receipting	Same officer (RFO) consistently prepares and approves bank reconciliations. Unauthorized locally-produced receipt books without serial numbers in active use. All findings from March 2025 review remain open with no documented management response. The configuration of SoD breach + non-compliant receipting is the highest fraud-enablement pattern in the dataset.
Kilifi Branch (BNK010)	Bank Rec Gap	Bank account BNK010 has had no reconciliation since August 2019 — a gap of over 6 years. This means six years of transactions cannot be independently verified. The October 2025 report notes this was attributed to an IT system issue, but no remediation timeline or progress was documented. A forensic reconciliation of this account back to 2019 is necessary before closure can be claimed.
Busia Branch (West Kenya)	Brokerage / CoI	The branch was procuring conference services at cost (Ksh 2,000/person) and billing projects at a markup (Ksh 2,300/person). Total documented transactions of Ksh 862,300 involved UNICEF, Korean project, and other donor-funded activities. The related party policy explicitly prohibits this. While the finding was marked closed in the October review, the root cause (inadequate policy awareness + performance pressure) remains, and the financial flows warrant verification.
Kirinyaga Branch (Central Region)	Procurement Investigation	The spot check documented a procurement where the LPO was dated 9 September 2025 for goods delivered in March/April 2025. A separate supplier submitted a quotation with pricing errors (100x lower than actual prices) that were then corrected in the invoice at the higher amount. Both issues together suggest either deliberate manipulation of the procurement process or a complete absence of oversight. The report rated this MEDIUM (investigation), but the combination of retrospective procurement plus quotation error correction deserves closer scrutiny.

Strategic Audit Priority Plan — Next Cycle

This plan translates the risk analysis into an actionable engagement schedule for the Internal Audit unit. It is structured around four tiers: immediate action (within 30 days), next quarter, next half-year, and annual follow-up. The plan factors in team capacity, travel logistics, fraud risk priority, and the principle that the highest-risk areas should receive the deepest engagement.

Tier 1: Immediate Action — Within 30 Days

These are not scheduled audit engagements. They are control responses that should happen before the next formal review.

Branch / Region	Action	Detail
Wajir	Desk review + management directive	Issue immediate directive to HOR to enforce SoD on Wajir bank reconciliations. Require RFO to submit last 12 months of bank recs prepared by one officer and approved by another. Confiscate unauthorized receipt books and replace with official Navision-printed or serialized books from HQ.
Kilifi (BNK010)	IT escalation	Escalate to ICT to resolve the system issue blocking bank rec entry for BNK010. Set a 30-day deadline for reinstatement. Initiate a forensic reconciliation request back to August 2019. This may require external support if internal team capacity is insufficient.
Machakos / Makueni	Cash handling audit	Request all PHW collection records (proforma cards issued, cards returned, cash receipted, amounts banked) for the 2025 walk. Verify end-to-end: school-to-staff-to-receipt-to-bank. Identify any gap between expected and received funds.
All Regions	Management Action Tracker launch	Issue a single consolidated Management Action Tracker (MAT) to all HORs and RFOs. Require each to confirm status of all open findings within 30 days. Use this as baseline for next audit cycle.

Tier 2: Priority Full-Scope Audits — Next Quarter (Q2 2026)

Engagement	Region	Duration	Focus Areas
North Rift Region — Focused Investigation	NRR	2 weeks	M-Pesa cash-out procurement in Bungoma and Turkana (trace all payments, verify against bank statements and supplier receipts). Volunteer-in-finance role compliance (Bungoma, West Pokot, Nandi). PHW end-to-end reconciliation. Verify NRR Remediation Board has been constituted per Oct 2025 recommendation.
Lower	Lower	10	Full PHW cash reconciliation across Machakos and Makueni.

Eastern — Cash and Revenue Audit	Eastern	days	Receipt reference verification in Navision vs physical receipt books. Makueni brokerage transaction trace. Kajiado bank reconciliation gap resolution. Bank signatory update status.
Wajir Branch — Full Scope	North Eastern	5 days	Comprehensive review of all 6 open findings with particular focus on SoD remediation, receipt book controls, contract approvals, and expense documentation. Consider simultaneous management interview under caution if SoD breach not resolved.

Tier 3: Scheduled Full-Scope Reviews — Q3 2026

Region / Branch	Priority	Rationale
Central Region (Nyeri focus)	**HIGH**	Nyeri requires a standalone review given its -90.75% surplus position and the scale of its bank reconciliation delays. The procurement investigation in Kirinyaga needs a formal close-out review with evidence verification.
Upper Eastern Region	**HIGH**	Verify progress on Marsabit payables (now Ksh 1.9M vs Ksh 7.7M). Confirm Isiolo CC appointment. Assess Samburu construction payable. Review resource mobilization strategy compliance.
West Kenya Region (Kisumu and Busia focus)	**HIGH**	Verify Busia brokerage has fully stopped and financials restated. Assess Kisumu off-system procurement approvals (Navision controls). Land title deed acquisition status for all 9 WKR branches.
Coast Region (Kilifi priority)	**CRITICAL**	Pending outcome of BNK010 forensic reconciliation, Kilifi should receive a full-scope review covering all 5 open findings plus the historical bank rec gap. Mombasa PAYE compliance — verify KRA submissions for 2025 are correct.

Tier 4: Annual Follow-Up Reviews — Q4 2026

South Rift Region (score 31), Garissa and Mandera (mostly closed), and branches with only medium/low open findings will be scheduled for desk-based follow-up reviews in Q4 2026. Full field reviews for these may shift to 2027 if Q3 findings are satisfactory.

Follow-Up Framework for Medium and Low Findings

The Internal Audit unit cannot dedicate field resources to every open finding. This framework establishes a tiered, evidence-based closure process for medium and low findings that does not require site visits, thereby freeing up audit capacity for the highest-risk engagements above.

The core principle is: management owns closure; Internal Audit verifies evidence. Each finding owner is required to submit documented evidence of remediation to the Management Action Tracker (MAT). Internal Audit reviews the evidence remotely and either accepts closure or escalates.

Category	Method	Frequency	Deadline	Escalation at	Owner	Evidence Required
MEDIUM — Cash and Bank	Desk review	Monthly	30 days from report issuance	60 days	RFO / Branch Accountant	Request bank rec samples and signed approvals via email. Verify in Navision remotely.
MEDIUM — Asset Management	Desk review + photo evidence	Quarterly	60 days	90 days	Branch Accountant / RFO	Request updated FAR extract from Navision; verify tagging via timestamped photos.
MEDIUM — Receivables and Payables	Desk review	Quarterly	60 days	90 days	RFO / County Coordinator	Require aging schedule per branch. Write-off proposals to be approved at ARC level.
MEDIUM — Governance and Risk	Document review	Bi-annual	90 days	120 days	County Coordinator / HOR	Confirm via board minutes and signed committee ToRs. No field visit required.
MEDIUM — Procurement	Desk review + system verification	Quarterly	45 days	60 days	RSCMO / RFO	Pull LPO and CBA records from Navision. Flag any off-system procurements.
MEDIUM — Volunteer Management	Document review	Bi-annual	60 days	90 days	County Coordinator	Request VMMS utilization report and signed CoC sample (10 volunteers per branch).
MEDIUM — Navision/ERP	Remote system check	One-off then annual	30 days	60 days	ICT HQ / RFO	HQ ICT to confirm branch mapping status. One-time fix; track post-implementation.

LOW — Idle Assets / IGA	Management representation letter	Annual	120 days	180 days	County Coordinator	Confirm utilization status via written management representation. Include in annual BDP review.
LOW — Office Space / Operations	Management representation letter	Annual	120 days	180 days	County Coordinator	Request signed/renewed lease agreements as evidence of resolution.

Escalation Protocol

Step 1: Finding owner submits evidence via MAT within the deadline.

Step 2: Internal Audit reviews evidence within 5 working days. If accepted, finding is closed in MAT.

Step 3: If no evidence is submitted by deadline, Internal Audit issues a 14-day cure notice to the HOR.

Step 4: If still unresolved, the finding is escalated to the Secretary General and flagged for inclusion in the next ARC board pack with a 'Not Resolved' status.

Step 5: Findings that reach ARC escalation status will receive enhanced scrutiny in the next field review, regardless of severity level.

This framework is designed to create real accountability without creating dependency on field audit visits for every finding. The MAT should be a shared spreadsheet or system accessible to all HORs, RFOs, and the Internal Audit team — with read-only access for the ARC Secretary.

Appendix A: Summary of All 21 Spot Check Reports

#	Report	Region	Period	Assurance	Open H	Open M	Key Issues
1	Central Region 2nd Round	Central	Nov 2025	6%	7	2	25% surplus failure, inaccurate opening balances, late bank recs, procurement investigation
2	Kitui and Makueni June 2025	Lower Eastern	Jun 2025	0%	1	6	SoD procurement, acting CC policy breach, VMMS non-use, idle assets
3	Bungoma Branch	North Rift	Oct 2025	54%	2	1	Persistent failure to implement prior recommendations, late bank recs
4	Central Region 1st Round	Central	Jun 2025	0%	1	5	Payables Nyeri Ksh 2.8M, income gaps, governance weaknesses, cash rec delays
5	Kajiado Branch	Lower Eastern	Jun 2025	33%	1	2	Receivables Ksh 585K, asset register gaps, Navision module inaccessible
6	Kilifi and Mombasa Oct 2025	Coast	Oct 2025	0%	0	4	Tax non-compliance payroll, procurement gaps, no title deed, opening balance variances
7	Kilifi Branch Jun 2025	Coast	Jun 2025	17%	0	5	Bank rec missing since 2019, overdue vehicle 350K km, payables Ksh 2.2M
8	Murang'a Branch	Central	Jan 2025	0%	0	0	Both findings CLOSED — volunteer payments resolved, activity tracker created
9	North Eastern 2025	North Eastern	Jun 2025	0%	0	1	Most findings closed; 25% surplus non-compliance still open
10	North Rift Region 1st Round	North Rift	Jun-Jul 2025	17%	6	0	PHW non-standardization, M-Pesa cash-outs, bid-splitting, volunteers in finance
11	North Rift Region 2nd Round	North Rift	Oct 2025	0%	1	2	Persistent partial remediation, payroll gaps, income concentration risk
12	South Rift Oct 2025	South Rift	Nov 2025	40%	2	2	Bomet irregular payments, Ksh 3.2M region deficit, overdue vehicles
13	South Rift Jun 2025	South Rift	Jun 2025	57%	0	1	Asset and receivable findings mostly closed; Navision verifying

14	Tana River Branch	Coast	Jun 2025	**31%**	1	3	Unprequalified fuel vendors, vehicle at 353K km, bank rec errors, long payables
15	Upper Eastern 1st Round	Upper Eastern	Jun 2025	**0%**	4	1	Ksh 7.7M payables, leadership vacancies, security liability gap
16	Wajir Branch	North Eastern	Mar 2025	**0%**	0	5	SoD breach (preparer = approver), unauthorized receipt books, all 6 findings open
17	West Kenya Oct 2025	West Kenya	Oct 2025	**0%**	2	0	Long receivables Ksh 4.7M, asset documentation, PHW accountability gaps
18	West Kenya Spot Check 2	West Kenya	Jul 2025	**0%**	0	0	No formal findings raised — preliminary scope review only
19	West Kenya Jun-Jul 2025	West Kenya	Jun-Jul 2025	**0%**	2	4	Land title deeds absent (9 branches), brokerage CoI, off-system approvals
20	Machakos/ Kajiado/Makueni Oct	Lower Eastern	Nov 2025	**0%**	3	3	Unbanked PHW cash, inaccurate receipts, bank signatory delays, brokerage
21	Upper Eastern Round 2	Upper Eastern	Oct-Nov 2025	**0%**	4	1	Declining income trend, membership failures, HR vacancies, Ksh 3.9M Samburu payables

Appendix B: Key Financial Figures Across Regions

Region	Notable Deficit / Surplus	Long Receivables (Est.)	Long Payables (Est.)	Observation
Central	Nyeri: -90.75% (Ksh 2.9M)	Ksh 2.8M+ (Nyeri payables)	Ksh 2.8M Nyeri	Nyeri operationally unsustainable
North Rift	Turkana: deeply negative surplus	Multiple branches; est. Ksh 5M+	Partially unquantified	IGA failures compounding deficit
South Rift	Combined: -Ksh 3.2M	Ksh 10M (debtors mostly Bomet)	Ksh 678K creditors	Bomet accounts for 73% of deficit
West Kenya	Migori and Kakamega in deficit	Ksh 4.7M+ Oct review	Ksh 2.9M payables	Brokerage inflates revenue figures
Coast	Tana River	Ksh 16.1M	Ksh 2.2M+ Kilifi	Ksh 16.1M >360

	struggling	Kilifi+Mombasa		days — largely irrecoverable
North Eastern	Garissa/Mandera in deficit Jan-May	Garissa: Ksh 3M; Mandera: Ksh 4.3M	Marsabit: Ksh 1.9M (was 7.7M)	Good progress in Marsabit payable resolution
Upper Eastern	All 3 branches declining vs 2024	Isiolo: Ksh 760K from 2021	Samburu: Ksh 3.9M construction	Samburu construction payable needs verification
Lower Eastern	Makueni: 7% surplus (target 25%)	Machakos: large HQ/project debtors	Machakos: Ksh 4.5M	Ksh 4.2M owed to Lower Eastern Region by Machakos